Startup Foundational Analysis

Unit III

Overview

Unit III: Startup Foundational Analysis (8 Hrs.)

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3.1.2 Entrepreneurship supports and barriers

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Environmental analysis

Environmental analysis involves

- examining the external factors that can influence a startup's success
- understanding the entrepreneurial ecosystem
- identifying the supports and barriers that affect entrepreneurial ventures.

Entrepreneurial ecosystem

various elements and stakeholders that support and influence the creation and growth of startups -

Entrepreneurial ecosystem

Government policies and regulations

- rules, regulations, and incentives set by the government to influence and guide entrepreneurial activities
- National Startups Policy, 2080
  - startups will be exempt from costs associated with enterprise registration and renewal, consultancy and technical assistance, concessional loans

Entrepreneurial finance

- Availability of funding from microfinance, grants, angel investors, venture capitalists, banks, and crowdfunding platforms
- Silicon Valley - Airbnb and Uber.

Entrepreneurial ecosystem

Physical infrastructure

- Tangible assets and facilities that support entrepreneurial activities - transportation networks, communication infrastructure (e.g. phone reception and internet), and co-working spaces

Entrepreneurial education

- providing knowledge and skills related to entrepreneurship through formal and informal educational programs - Universities and research institutions
- The Massachusetts Institute of Technology (MIT) - HubSpot and Dropbox.

Market openness

- Open markets - create opportunities for entrepreneurs to enter/compete
- Closed or highly regulated markets - limit competition, reducing opportunities for entrepreneurs.

Entrepreneurial ecosystem

Research & development transfer

- insights from academic and research institutions shared with the commercial sector
- transfer of knowledge and the use of locally appropriate technologies

Culture & social norms

- shared values, attitudes, and behaviors within a society - risk-taking, innovation, encouraging individuals

Talent and Workforce

- A skilled and diverse workforce, vibrant talent pools

Entrepreneurship supports and barriers

Supports

- **Incubators and Accelerators**: mentorship, resources, and funding to help startups grow.
  - Y Combinator, Techstars, Nepalese Young Entrepreneurs Forum(NYEF), Idea Studio Nepal
- **Government Grants and Subsidies**: Financial assistance and grants from governments
  - Rural Enterprise and Economic Development Project (REED) Nepal, Youth and Small Entrepreneur Self-Employment Fund (YSEF), Women Entrepreneurship Development Fund (WEDF)
- **Networking and Mentorship**: Access to a network of experienced entrepreneurs, mentors, and industry experts
  - Idea Studio Nepal, Skill Up Nepal, I^3
- **Innovation Hubs and Clusters**: Geographic regions that foster collaboration and innovation
  - UGC in Nepal, Silicon Alley in New York City and Tech City in London.

Entrepreneurship supports and barriers

Barriers

- **Access to Capital**: Difficulty in securing funding in underrepresented regions or sectors.

- **Regulatory Hurdles**: Complex and restrictive regulations can hinder innovation and delay product launches, significant regulatory challenges especially in fintech and healthtech

- **Market Competition**: Intense competition from established companies and other startups can make it difficult for new entrants.

- **Talent Acquisition**: Finding and retaining skilled employees can be challenging, particularly in highly competitive tech industries - high demand for tech talents

Competitor analysis

evaluating business's competitors to understand their strengths, weaknesses, strategies, and market position

Identifying competitors

- **Direct competitors**: companies that offer similar products or services and target the same customer base.
  - Coca-Cola and Pepsi, Pathao and InDrive, Nike and Adidas
- **Indirect competitors**: businesses that offer alternative solutions to the same customer need.
  - gym and at-home fitness apps, chocolate and ice-cream shops
- **Potential Competitors**: competitors that are not currently selling in market, but could be in the future.
  - A healthier burger at a similar price to Burger King

Competitor analysis

Identifying competitors

- **Steps to identify competitors:**
  - **Market Research**: Conduct surveys, focus groups, and interviews
  - **Online Search**: Search engine, social media, industry blogs, forums, review sites
  - **Industry Reports**: Access industry reports and market analyses
  - **Customer feedback**: Analyze customer feedback and reviews
  - **Sales and Distribution Channels**: where and how competitors are selling their products - online marketplaces, retail stores, or direct sales

	Competitor A	Competitor B	Competitor C
Product or service strategies			
Pricing strategies			
Distribution strategies			
Promotion strategies			
Strengths and weaknesses			

Competitor analysis

Sources of competitive advantage - having an edge over competitors that allows you to attract more customers, make more sales, and achieve better profitability

Sources and strategies

- **Cost leadership -** produce goods or services at a lower cost than competitors. Walmart – keeps its prices low by buying in large quantities
- **Differentiation -** offer unique products or services that stand out from competitors. Apple differentiates its products with sleek designs & user-friendly UI.
- **Focus strategy** - target a specific market niche and cater specifically to that segment's needs. Rolex focuses on the luxury watch market.
- **Innovation** - develop new products, services, or models that the competitors don't have. Tesla innovated with electric vehicles and advanced battery technology.
- **Customer Loyalty -** build a strong relationship with customers so they keep coming back, Starbucks & Himalayan Java – rewards program
- **Brand Equity -** have a well-known and trusted brand that people prefer over others. Nike's brand - high-quality sportswear

Market analysis and plan

- Market research, target customer profile
  - Step one: Defining the objectives or purpose
  - Step two: Gathering data from primary sources (surveys and questionnaires, focus groups, in-depth interviews, customer persona)
  - Step three: Gathering information from secondary sources (industry reports, competitor analysis, SWOT analysis, Lean canvas)
  - Step four: Analyzing and interpreting the results

Questionnaires/survey questions

1. Of the following, please check the three most frequent errands that you are likely to carry out during the workweek.

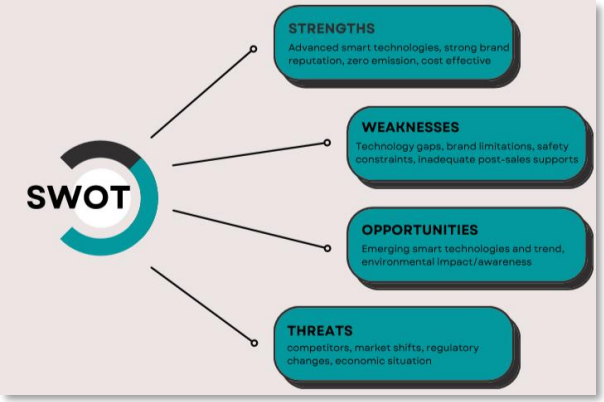
_____ Dry cleaners	_____ Post office
_____ Drugstore	_____ Bank
_____ Shopping for clothing items	_____ Shopping for nonclothing and nongrocery items
_____ Buying a gift	_____ Automotive service or repair
_____ Other _____	_____ Other _____
Please specify	Please specify

2. Of the following, please indicate which items you would be willing to pay for someone to carry out for you.

_____ Dry cleaners	_____ Post office
_____ Drugstore	_____ Bank
_____ Shopping for clothing items	_____ Shopping for nonclothing and nongrocery items
_____ Buying a gift	_____ Automotive service or repair
_____ Other _____	_____ Other _____
Please specify	Please specify

3. What do you consider the two most important reasons for having someone else complete an errand? (Check only two.)

SWOT Analysis



Customer Persona

Aakriti Sharma

Demographics

Name: Aakriti Sharma
Age: 34
Gender: Female
Annual Income: 18,00,000 NPR
Education: MBA
Location: Kathmandu

Short Description

Personality: Conscious, tech-savvy, working mom
Values: Health, sustainability, technology
Lifestyle: Industry educator, busy office day, participates in environment awareness campaigns
Gain information by: Reading blogs, industry newsletters

Preferred channels

Email, social media (Facebook, Instagram, LinkedIn), Slack

Biggest Challenges

- Busy working day with time consuming and dependent commute
- Cost effectiveness
- Worried about charging stations availability especially during hometown visit

Goals

- To commute via own car instead of ride sharing and public transportation
- To contribute to greener planet by driving an eco-friendly car
- To reduce long-term costs associated with ever rising fuel price and maintenance
- To enjoy the cutting edge technology for infotainment

Quote

" I want to drive a car that aligns with my core values, is reliable and stylish, helps me make a positive impact on the environment."

Lean Canvas

Problem	Solution	Unique Value Proposition	Unfair Advantage	Customer Segments
• High fuel costs and environmental impact • Inadequate technological advancements in budget friendly cars • Safety concerns in mid-priced cars	• Electric car with reduced carbon footprint with zero tailpipe emissions • Innovative features with advanced driver assistance systems and infotainment • Lower operating cost and tax rebates	• Zero emissions • Advanced smart systems and advanced safety features • Affordable price at 40 lakhs NPR	• Advanced technology • Strong brand reputation • Strategic alliances with top suppliers	• Small families • Urban professiona • Eco/green-concio consumers
Existing Alternatives	**Key Metrics**	**High-Level Concept**	**Channels**	**Early Adopters**
• Hybrid, petrol, diesel cars • Compressed natural gas cars • Public transportation Ride-sharing	• Payback period, ROI • Sales volume • Fuel/energy cost saving • Total cost to ownership • CO2 emission, energy efficiency	Electric vehicle	• Distribution dealerships • Online platform for direct sales • Marketing campaigns • Word of mouth and influencers	• Residents of urba • Environmental cor enthusiasts • Tech savvy consu • Governments, NG corporates

Market analysis and plan

Key terminologies:

- **TAM (Total Addressable Market)**
  - total demand for a product or service if 100% of market is captured, without any limitations.
  - For a company selling electric scooters, the TAM would include all potential customers globally who might buy an electric scooter.
- **SAM (Serviceable Available Market)**
  - segment of TAM that is within reach with current business model and services
  - market for electric scooters within the regions the company can currently service
- **SOM (Serviceable Obtainable Market)**
  - portion of SAM that can be realistically captured, with resources, competition, and market constraints.
  - 10% of the electric scooter market in a province
- **GTM (Go-To-Market) strategy**
  - plan that outlines how a company will launch a product to market, targeting specific customers and positioning against competitors.
  - online marketing campaigns, partnerships with local retailers, and promotional events to attract early adopters.

Market analysis and plan

<u>Branding and promotional strategies</u>

Branding strategies

- **Brand Positioning:**
  - Defining how the brand is perceived in the minds of customers relative to competitors.
  - Volvo positions itself as a leader in car safety.
- **Brand Identity:**
  - Creating a distinctive logo, color scheme, and visual elements that represent the brand.
  - Nike’s swoosh logo and "Just Do It" slogan.
- **Brand Personality:**
  - Giving brand human characteristics to make it relatable to customers.
  - Coca-Cola’s brand personality is joyful and friendly.
- **Brand Equity:**
  - The value added to a product due to its brand name.
  - Apple products command higher prices because of their strong brand equity.
- **Brand Loyalty:**
  - Encouraging repeat purchases and a strong emotional connection to the brand.
  - Starbucks rewards program to keep customers returning.

Market analysis and plan

Promotional strategies

- **Advertising:** Paying for space or time to promote a product through various media channels, TV commercials during the NPL
- **Sales Promotion:** Short-term incentives to encourage the purchase of a product or service, Buy-one-get-one-free offers in retail stores.
- **Public Relations (PR):** Managing the spread of information between an organization and the public to maintain a positive image, A press release announcing a new product launch.
- **Direct Marketing:** Sending promotional materials directly to potential customers, Email newsletters with special discounts.
- **Social Media Marketing:** Using social media platforms to promote products and engage with customers, influencer on Instagram to promote fashion brands.
- **Content Marketing:** Creating and sharing valuable content to attract and retain customers, Blog posts and videos on a company's website with product tips
- **Event Marketing:** Organizing events to promote products and engage with customers, Apple's annual product launch events.

Business strategy development

<u>Vision and Mission statements</u>

Vision Statement: A future-oriented declaration of the organization's purpose and aspirations.

- "To be the world's most loved, most flown, and most profitable airline." – Southwest Airlines.

Mission Statement: A concise explanation of the organization's reason for existence, focusing on the present.

- "To organize the world's information and make it universally accessible and useful." – Google.

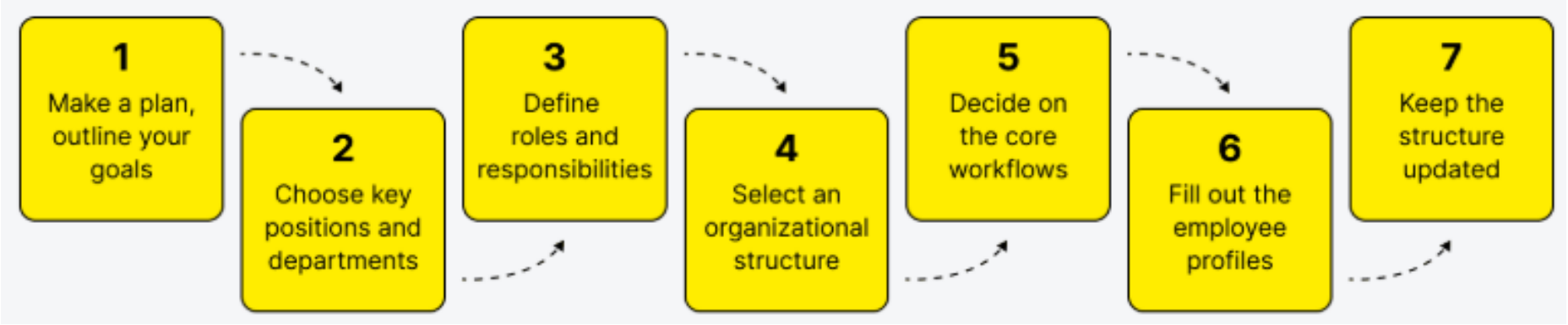
Business strategy development

SMART goal

S	Specific	• Clearly define what you want to achieve. • Increase website traffic.	
M	Measurable	• Ensure the goal can be quantified. • Increase website traffic by 25%.	
A	Achievable	• Set a goal that is realistic in available resources. • Increase website traffic by 25% through targeted marketing campaigns	
R	Relevant	• Align the goal with broader business objectives. • Increase website traffic by 25% to boost online sales.	
T	Time-based	• Specify a deadline for achieving the goal. • Increase website traffic by 25% within six months.	

Building team for startup

Building team for startup



Building team for startup

Strategies for recruiting founders and early employees

Financial analysis

<u>Revenue streams and cost structures</u>

Most common Revenue streams

Revenue Stream	Description
Advertising	advertising a particular product or service - newspaper, magazine, website
Commissions	bringing two parties together to complete a sale. The money usually comes from taking a small % of the sale price.
Download Fee	allowing a user to download a digital product - smartphone app, an e-book, or a software product.
Licensing	charging for the use of a protected intellectual property - a software product
Matchmaking	matching someone who wants temporary access to an asset - Airbnb, Uber
Product Sale	selling a physical good - a product in a retail store or on a website.
Renting/Leasing	renting or leasing an asset - a rental car, a copy machine, or a piece of specialized machinery.
Service Sale	selling a service - a meal in a restaurant or a car repair
Subscription Service	selling a subscription – Netflix, Vianet

Financial analysis

<u>Revenue streams and cost structures</u>

Cost structures

- refers to the various types of expenses a business incurs to operate effectively

Types of cost	Description
Fixed costs	costs that do not change with the level of production or sales - Rent, salaries, insurance
Variable costs	costs that vary directly with the level of production or sales - Raw materials, direct labor, and sales commissions
Semi-variable costs	costs that have both fixed and variable components - Utility bills (fixed base charge plus usage-based charges)
Direct costs	costs that can be directly attributed to the production of goods or services - raw materials and direct labor
Indirect costs	costs that cannot be directly attributed to specific products or services but are necessary for overall operation - overhead costs like utilities, administrative salaries, and office supplies.

Financial analysis

<u>Revenue streams and cost structures</u>

Importance of cost structure analysis

- **Profitability analysis**: Helps determine the break-even point, identify whether the business is a cost-driven or value-driven business
- **Cost management**: identify the nature of the business' costs and costs categories
- **Pricing strategy**: Informs pricing decisions to ensure that prices cover costs and generate desired profit margins.
- **Investment decisions**: Provides insights into the cost implications of scaling operations or introducing new products.

Key financial statements for future financial projections

Key financial statements	Description
Income statement (Profit and loss statement)	• revenue, cost of goods sold, gross profit • projecting an increase in sales revenue by 10% annually • projecting operating expenses based on anticipated inflation
Balance sheet	• assets, liabilities, and shareholders' equity • projecting future investments in assets such as equipment, technology, and inventory, debt repayments, equity financing
Cash flow statement	• cash received from customers, cash paid to suppliers, purchase of equipment • projecting cash inflows and outflows to ensure sufficient liquidity for future operations and investments

Key financial statements for future financial projections

Revenues	$	50,000
Cost of goods sold		15,000
Gross Profit	$	35,000
Operating expenses		
Commissions		5,000
Marketing expenses		6,000
Office expenses		18,000
Total operating expenses	$	29,000
Net Income	$	6,000

	2006	2007	2008	2009	2010
Income Statement					
Net sales	$43,300	$67,900	$77,300	$80,200	$88,100
Cost of goods sold	$24,100	$24,600	$20,800	$21,900	$39,500
Net Operating Income	$19,200	$43,300	$56,500	$58,300	$48,600
Operating expenses	$3,500	$3,900	$2,100	$3,000	$3,600
Net Income	$15,700	$39,400	$54,400	$55,300	$45,000
Cash Flow Statement					
Beginning balance	$14,500	$12,300	$8,200	$8,900	$11,600
Cash inflow	$7,000	$7,600	$9,400	$9,900	$7,000
Cash outflow	($8,200)	($5,400)	($6,900)	($7,900)	($8,900
Ending Cash Balance	$13,300	$14,500	$10,700	$10,900	$9,700
Balance Sheet					
Cash	$13,300	$14,500	$10,700	$10,900	$9,700
Accounts receivable	$17,600	$13,800	$19,800	$19,500	$21,800
Inventory	$6,300	$8,200	$9,300	$9,400	$11,200
Prepaid expenses	$5,700	$6,300	$5,800	$3,200	$2,700
Total Current Assets	$42,900	$42,800	$45,600	$43,000	$45,400
Fixed assets	$28,000	$30,500	$45,000	$43,000	$41,000
Total Assets	$70,900	$73,300	$90,600	$86,000	$86,400
Accounts payable	$6,400	$6,200	$9,800	$7,600	$8,200
Short-term notes	$5,700	$5,500	$4,800	$5,400	$7,700

Raising capital for startup: seed capital, angel investment, venture capital

Seed capital	• often coming from the founders' personal savings, friends, family, or early-stage investors • typically smaller amounts of money, high risk due to the early stage of the company, often exchanged for equity • A tech startup may raise $50,000 to develop a prototype of their software application.
Angel investment	• investment amounts typically range from $25,000 to $500,000 • investors often seek a significant equity stake, may involve active involvement in the company's growth. • An e-commerce startup secures $200,000 from an angel investor who previously founded a successful online retail company.
Venture capital	• investment amounts range from several hundred thousand to million $ • significant equity stake and may take board seats, high-growth sectors like technology, healthcare, and biotech. • A biotech startup receives $5 million in Series A funding from a venture capital firm to expand its research team, accelerate clinical trials, and prepare for regulatory approval of its new drug.

Tutorial

- Explore the already existing projects/applications to understand
  - How did the entrepreneurship start?
  - Main concepts
  - How are they doing today?